

Five Steps to Financial Wellbeing

aim for six or twelve months; it depends entirely on you and what will make you feel secure. It will take time to build your emergency fund, but setting aside a small portion of your income each month for this is a good use of your cash, because it's a way of protecting yourself from hardship and difficulty that could sabotage the positive steps that you've taken in your relationship with money to date. So, having an emergency fund gives you security, but it also lends you some freedom too. It gives you the freedom to say no, and to enforce boundaries that you might have previously worried would impact you financially. It might grant you the financial independence that you need to leave an abusive partner or a job that's destroying your mental health, and having the knowledge that you don't have to put up with bad behaviour or being hurt in order to keep paying the bills is incredibly liberating. Having some money saved puts a lot of decisions back into your hands, and allows you to put your safety, happiness and wellbeing first.

Once you have some emergency savings in place, it's time to start thinking about how you can grow your money in order to give you more options in the future – always, of course, in line with your own lifestyle goals and what's realistically possible within your means. The conversation around investing has changed a lot in recent years and, as interest rates on savings have plummeted and stagnated, investing your money has become one of the best ways to beat inflation and ensure that you don't actually end up losing money on your savings.